



Welcome to Financial Accounting

Tuck Business Bridge Program

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Goodwill is an asset
Goodwill impairment is when you buy another company → intangible asset
Investing should be a negative number



Day 3 Agenda

- **Bridge 10K – Part 2 handout**
- **Accounting Equation – Revisited**
- **Accrual Accounting**
 - Journal Entries - Adjusting
- **Permanent versus Temporary Accounts**
 - Journal Entries – Closing
- **Financial Statement Articulation**
 - Statement of Retained Earnings
 - Income Statement
 - Balance Sheet
- **Statement of Cash Flows**
 - Operating, Investing, Financing

Statement of Cash is cash flows



Accounting Equation

$$\text{Assets} = \text{Liabilities} + \text{Shareholders' Equity}$$

Rule: must be in balance

Expanded Accounting Equation



Expanded Accounting Equation

Draft out Expanded Accounting Equation



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Accounts

Assets

Liabilities

Shareholders' Equity

Revenue

Expense



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Accrual Accounting

When to recognize revenue?

When to recognize expenses?



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Adjusting Journal Entries include...

(1) Unearned Revenue

Unearned Revenue

Sales Revenue

(2) Accrued Revenue

Accounts Receivable

Sales Revenue

(3) Accrued Expense

Salaries Expense

Salaries Payable

(4) Prepaid Expense

Insurance Expense

Prepaid Insurance

Rule # 1

Double Entry Accounting

Debits Must Equal Credits

Rule # 2

Never cash

Rule # 3

Always BS and IS account

(5) Depreciation Expense

Accumulated Depreciation



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Adjusting Journal Entries include...

(1) Unearned Revenue

And deferred revenue

Unearned Revenue

Sales Revenue

Rule # 1

Double Entry Accounting

Debits Must Equal Credits

Rule # 2

Never cash

Rule # 3

Always BS and IS account



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Adjusting Journal Entries include...

(2) Accrued Revenue

Accounts Receivable

Sales Revenue

Rule # 1

Double Entry Accounting

Debits Must Equal Credits

Rule # 2

Never cash

Rule # 3

Always BS and IS account



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Adjusting Journal Entries include...

(3) Accrued Expense

Salaries Expense

Salaries Payable

Rule # 1

Double Entry Accounting

Debits Must Equal Credits

Rule # 2

Never cash

Rule # 3

Always BS and IS account



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Adjusting Journal Entries include...

(4) Prepaid Expense

Insurance Expense

Prepaid Insurance

Rule # 1

Double Entry Accounting

Debits Must Equal Credits

Rule # 2

Never cash

Rule # 3

Always BS and IS account



Tuck

Adjusting Journal Entries include...

(5) Depreciation Expense

Depreciation Expense

Accumulated Depreciation

Rule # 1

Double Entry Accounting

Debits Must Equal Credits

Rule # 2

Never cash

Rule # 3

Always BS and IS account



Permanent Versus Temporary Accounts

Permanent

Assets

Liabilities

Shareholders' Equity

Temporary

Revenue

Expenses

Dividends

Balance sheet

Point in time

Building 1,000,000

Income Statement

Period of time (Jan 1) Ø

Conclude (Dec 31)

Dec 31 Ø

State of Rebuilt Earning
Period of time



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Closing Journal Entries include...

(1) Close out Revenues

Sales Revenue

Service Revenue

Retained Earnings

(2) Close out Expenses

Retained Earnings

Salaries Expense

Telephone Expense

Advertising Expense

(3) Close out Dividends, if any

Retained Earnings

Dividends

Rule # 1

Double Entry Accounting

Debits Must Equal Credits

Rule # 2

Revenues have a normal credit balance – so to close them out – they should be debited.

Rule # 3

Expenses and Dividends have a normal debit balance – so to close them out – they should be credited.



Financial Statement Articulation

How Financial Statements Connect



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Statement of Retained Earnings

Beginning Retained Earnings

Add Net Income (or less Net Loss)

Less Dividends, if any

Ending Retained Earnings



Income Statement Multiple Step



Income Statement Multiple Step

Sales Revenue

Less Cost of Goods Sold

Gross Profit

Less Selling, General, and Administrative Expenses

Less Depreciation and Amortization Expenses

Operating Income

Less Interest Expense

Pretax Income

Less Tax

Net Income (Net Loss)



Income Statement

Multiple Step (subtotals / total)

Sales Revenue

Less Cost of Goods Sold

Gross Profit

Less Selling, General, and Administrative Expenses

Less Depreciation and Amortization Expenses

Operating Income

Less Interest Expense

Pretax Income

Less Tax

Net Income (Net Loss)



Balance Sheet Classified – Broad Categories



Balance Sheet

Classified – Broad Categories

Assets

Current Assets

Long-Term Investments

Property, Plant & Equipment

Intangible Assets

Total Assets



Balance Sheet Classified – Broad Categories

Liabilities

Current Liabilities

Long-Term Liabilities

Shareholders' Equity

Common Stock

Retained Earnings

Total Liabilities and Shareholders' Equity



Accounting Equation

$$\text{Assets} = \text{Liabilities} + \text{Shareholders' Equity}$$

Rule: must be in balance

Balance Sheet and Accounting Equation



Statement of Cash Flows

Cash Flows

Operating Activities

Investing Activities

Financing Activities

Beginning Cash Balance

Ending Cash Balance



Statement of Cash Flows

Direct Method Versus Indirect Method

Indirect Method starts with Net Income

Operating

Net Income

Add in Depreciation Expense & Amortization Expense, if any



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Statement of Cash Flows - continued

Net Income

Add in Depreciation Expense & Amortization Expense, if any

Add in Losses (for example, loss on sale of building)

Less Gains (for example, gain on sale of building)



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Statement of Cash Flows - continued

Net Income

Add in Depreciation Exp & Amortization Exp

Add in Losses (for example, loss on sale of building)

Less Gains (for example, gain on sale of building)

Account for Changes in Current Assets

Account for Changes in Current Liabilities



Statement of Cash Flows - continued

Account for Changes in Current Assets:

An increase in current assets is subtracted

A decrease in current assets is added

Account for Changes in Current Liabilities:

An increase in current liabilities is added

A decrease in current liabilities is subtracted



Statement of Cash Flows

Investing

Long-Term Assets

Property, Plant and Equipment

Investments – in other companies



Statement of Cash Flows

Financing

Debt

Equity

Common Stock

Dividends, if any



Accounting Problem Solving Lab

- **Journal Entry Work**
- **Financial Statement Work**
 - Balance Sheet
 - Income Statement
 - Statement of Cash Flows



Homework

- **Review all of the Journal Entries in this PowerPoint.**
 - **Please work with classmates. Talk about each account in detail.**
- **Review the indirect Statement of Cash Flow details in this PowerPoint**
 - **Please work with classmates. Talk about each component.**
 - **Note each section of the statement (Operating, Investing, Financing)**
 - **Note the importance of Depreciation Expense as it relates to the statement**
 - **Note the rules to account for changes in current assets**
 - **Note the rules to account for changes in current liabilities**
- **Building on Bridge 10K handouts, complete Bridge 10K Part 3 handout**
 - **Note details of Bridge 10K company cash flow statement**
- **Please be prepared to discuss in class tomorrow.**
- *Note – Capstone Project Work – proposing your capstone project company names*